WK 8 / 12

How much to bet

Risk targeting, position sizing, the stop — and the paper ticket that will not accept a trade without the reason written down

We grade decisions, not outcomes.

Education, not advice.

0:00 — HARVEST

The rule in your words; your one instrument

Three read aloud

Listen for “the fast average overtakes the slow one” in plain words. That sentence is what last week was for.

Round the room

The one instrument each of you chose, and why. The tickers go on the board; they come back at 1:00 when the tickets are written.

Tonight

When was last week. Tonight is how much — the question that separates a rule from a tip. A tip says “buy Apple”. A rule says how many, where the stop is, what it costs, and when the answer is “nothing”.

0:10 — RISK TARGETING

Why 12%?

The account's volatility, not a return

A 12% risk target means the account typically moves about 12% a year — up or down — the way instrument risk describes a share. Nobody promised 12% gained.

Modest on purpose

Carver's reasoning: a trend rule's reward per unit of risk is small — about a quarter — and betting the full amount that allows ruins you on the way to the long run. He halves it. The worst years at 12% are survivable; that is what a target is for.

The dial everything turns on

A share that moves 24% a year gets half the account. One that moves 6% would need twice the account — which a cash account cannot do. The target is the only number of opinion in the system, and it is written down first.

"Why not more when I'm sure?" — Being sure is the thing week 7 measured. The target is the same on the night you are sure and the night you are not. That is what makes it a rule.

Leveraged Trading — the Starter System's risk target; Systematic Trading ch. 9

0:25 — THE ARITHMETIC, IN FULL

Apple, $10,000, the 29 Oct close

Step	How	Apple
Instrument risk	from the signals page: σ of daily % returns × 16	18.18% a year
Target exposure	account × 12 ÷ instrument risk	$10,000 × 12 ÷ 18.18 = $6,600.66
Whole shares	the number that fits: ⌊target ÷ price⌋	$6,600.66 ÷ $348.91 = 18.9 → 18 shares, $6,280.38
Achieved risk	weight × instrument risk	62.8% × 18.18% = 11.42% a year (under target: whole shares always land under)
Stop gap	½ × instrument risk × entry price — fixed at entry	½ × 18.18% × $348.91 = $31.72
First stop	entry − gap; then the highest close since entry − gap	$348.91 − $31.72 = $317.19
Cost	$2 + 0.25% of the trade, each way	$17.70 to open; $35.40 the round trip = 0.56%

Capped at the account: a share at 6% a year would ask for $20,000 of a $10,000 account; the cash account holds $10,000 and accepts 6%. No leverage in this class.

THE DIAL TURNS

Three companies, one account

	Instrument risk	Target exposure	Shares × price	Weight	Achieved risk	Stop gap · first stop
Apple	18.18%	$6,600.66	18 × $348.91 = $6,280.38	62.8%	11.42%	$31.72 · $317.19
Coca-Cola	21.11%	$5,684.51	60 × $94.08 = $5,644.80	56.4%	11.92%	$9.93 · $84.15
Microsoft	22.55%	$5,321.51	10 × $530.14 = $5,301.40	53.0%	11.95%	$59.77 · $470.37

The more it moves, the less you hold. Nothing about the companies entered the arithmetic — three numbers in, a size out.

Closes and instrument risk from /signals, 29–30 Oct 2026 (VC-19's three tickers)

0:40 — THE CLOSING RULE

The stop

The gap

Half the annual instrument risk, in price: ½ × 18.18% × $348.91 = $31.72 for Apple. Fixed on the day you enter; it does not move with tonight's volatility.

The level

The highest close since entry, minus the gap. Day one: $317.19. If the share closes at $360, the stop is $328.28. It only ever rises.

The rule

A close at or below the stop closes the position — at the next decision, with a ticket and a journal line. Not at the next headline. Not “I'll give it a day”.

Too tight, and ordinary 1–2% days hit it; too loose, and a trend's end costs most of what the trend made. Half a year's movement for a rule as slow as 16/64 is Carver's choice; the course takes it. The rule's flip does not close a position — the stop does. After a stop-out, no re-entry on the same signal: flat, then long again, first.

0:50 — WHAT IT COSTS

Costs, and the smallest account that can play

A trade costs $2 + 0.25%

A cheap broker plus the currency conversion an Irish student would pay; the paper account is in dollars because the shares are. Apple's 18 shares: $17.70 to open, $35.40 the round trip — 0.56% of the position.

The course's 1% rule

A round trip over 1% of the position is too small to trade. Carver's principle: costs must stay a small fraction of what the rule can earn. The course's threshold: 1%, in the rules table, open to revision.

Minimum account

Apple at today's risk: $1,586 — three whole shares ($1,046.73) are the first that cover the $800 the cost rule needs, scaled by 18.18 ÷ 12. The floor is counted in whole shares. A $1,000 account sizing a $20 share at 30% risk holds $400; the round trip is 1.5% of it: refused, minimum $2,000 named. Nothing is wrong with the company.

SAID OUT LOUD

Why leverage is out of scope

More than the cash

Leverage lets an account hold more than its cash: the 6% share's $20,000 of exposure on $10,000 (leverage factor 2). Apple at 18% needs none at a 12% target — the rule asks for 66% of the account.

Same stop, twice the shares

The stop is the same distance away in price, but the loss is on twice the shares. A bad week the cash account survives ends the leveraged one: the broker closes it for you, at the worst price.

The book is about doing it carefully

Carver's book is called Leveraged Trading and spends chapters on it. This class runs the leverage-factor-1 variant: cash equities, long only, whole shares (decision 18). Read the rest after week 12.

1:00 — LIVE

Your first ticket

`[ course URL ]/tickets/<your code>`

`[ course URL ]/signals`

1 · Read tonight's rule for your instrument. LONG → an opening ticket, units blank (the rule's size), and the journal: what the rule said, where the stop is, what you will do if it is hit. FLAT or WARMING → no ticket; the rule opens, you don't.

2 · Read the accepted ticket: size, fill (the latest close the toolkit holds), cost, stop.

3 · Try one refusal on purpose: units at twice the rule's size. Read the sentence. That sentence is the week's exit check.

Expect a third of the room to be flat and ticket-less. That is the lesson: "the rule is flat; I wait" is a decision, in the journal.

THE EXIT CHECK

What a refusal looks like

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Oversized. At 18.18% instrument risk and the 12% target, a $10,000.00 account supports
$6,600.66 of AAPL — 18 shares at $348.91. You asked for 40 ($13,956.40, 140% of the account,
carrying 25.4% a year). The rule's size is the most you can hold; fewer is allowed.
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Every number checkable

Account, target, shares, what you asked, what it would carry. A student can follow it on a calculator; that is the test the refusal has to pass.

Other sentences

“The rule opens, you don't” (flat) · “You already hold 18 shares” · “Wait for a fresh crossover” · “Not enough cash” · “The journal entry is the ticket” · “Needs a paper account of at least $1,586”.

Nothing is written

A refused ticket is answered, not stored. An accepted one writes the ticket and its position in one database operation: a half-written trade cannot exist.

Syllabus, week 8 exit check: an oversized ticket is rejected with a reason a student can understand

1:15 — THE WEEKLY ROUTINE · 1:20 — HOMEWORK

Five minutes every Monday

Monday evening, in this order

/signals for your instrument → your page: the stop and the stamp → the journal → (maybe) a ticket. The tracker runs every night after the signal pass; a close at or below the stop is stamped in red with its date; the Monday ticket closes it.

1 · Size two more by hand

Any two core-tier names from the signals page; check against /size; bring the page.

2 · The routine, once · 3 · Read

A journal line whatever the rule says. The Starter System's sizing and stop-loss chapters in Leveraged Trading (course copy). Optional: Systematic Trading ch. 9–10, where the method behind the 12% comes from.

“We grade decisions, not outcomes.”

GO DEEPER — FREE, FOREVER, OPTIONAL

Where the numbers come from

The course's rules table is one file; Carver's reasoning is two books; the arithmetic is on every page:

BOOK 2019 Carver, Leveraged Trading — the Starter System: risk target, sizing, the stop, minimum capital, the leverage factor

BOOK 2015 Carver, Systematic Trading ch. 9–10 — volatility targeting and position sizing — the method behind the 12%

CODE src/lib/sizing.ts · src/lib/tickets.ts — the rules table, the ticket's checks, the tests that pin every sentence on tonight's slides

PAGE /size · /tickets/<code> — the calculator line by line; your own paper account

github.com/tonyryan08/stock-market-toolkit

Education, not advice.